

**BEFORE THE FEDERAL MARITIME COMMISSION**

MCS INDUSTRIES INC.,  
Complainant

v.

MSC MEDITERRANEAN SHIPPING COMPANY S.A.,  
Respondent.

DOCKET NO. 21-05

**RESPONDENT MSC MEDITERRANEAN SHIPPING COMPANY S.A.’S  
RESPONSE BRIEF ON REMAND**

The Commission’s January 3, 2024 Order Partially Affirming Initial Decision on Default and Remanding for Further Proceedings (“Remand Order”), remanded this action to require Complainant MCS Industries to provide proof of its claimed reparations. The Remand Order noted that the Initial Decision had incorrectly considered the reparations to be “specified liquidated amounts requiring little or no calculations,” when they were in fact “unspecified charges for bookings MCS says it made on certain shipping routes in a certain time frame.” Remand Order at 27-28. The Commission thus “require[d] detailed evidence in this case, in light of the apparently greater complexity and vastly greater size of the reparations claimed, as well as the approach of federal courts applying comparable default principles.” *Id.* at 29. The Remand Order also sought briefing as to whether 46 U.S.C. § 41302(d) provides “a potential additional basis for the imposition of default in this proceeding,” an issue no party had raised.

Respondent MSC Mediterranean Shipping Company S.A. (“MSC”), hereby responds to the Remand Order and Complainant’s January 19, 2024 Brief on Remand. As set out below, Complainant’s filing does not provide evidence sufficient to support any award of reparations in this action. In place of competent evidence proving reparations as a result of MSC’s failure to

meet its contractual obligations to carry specific cargo, Complainant has submitted a collection of invoices for spot market carriage. Tellingly, many of these invoices pertain to time periods for which Complainant has never previously alleged any issues and that were not included in any prior claim for reparations, and none of them are otherwise tied to the alleged conduct as to which the default has precluded MSC from presenting a defense.

MSC respectfully submits that the failure of proof is so substantial as to warrant a complete denial of the claim for reparations. Alternatively, MSC is entitled under relevant federal court precedent to a hearing to challenge the evidence and cross examine Complainant's witnesses to, among other things, demonstrate the lack of personal knowledge of Complainant's sole affiant in support of its reparations claim. MSC also demonstrates below that 46 U.S.C. § 41302(d) does not support a default in this case.

**I. COMPLAINANT HAS FAILED TO PROVIDE COMPETENT EVIDENCE TO JUSTIFY ANY REPARATIONS AWARD**

**A. Complainant Is Required To Support Its Claim Of Reparations With Competent Evidence, And MSC Is Entitled To Challenge That Evidence With Its Own Evidence And To A Hearing At Which It Can Cross-Examine Complainant's Affiant**

Complainant cites no precedent or other legal support for its approach to proving reparations. In holding that the approach endorsed by the Initial Decision was insufficient, the Remand Order looked to the "approach of federal courts." Remand Order, at 28. Federal precedent is well-settled that where a default judgment is entered, a party must provide competent evidence to justify a damages award. *See Bozzuto Contractors, Inc. v. Evans*, Civ. No. 19-3292, WL 7042766, \*3 (D.D.C. 2020); *GAG Enters., Inc. v. Rayford*, 312 F.R.D. 230, 234 (D.D.C. 2015) (denying award on default for failure to provide sufficient evidence justifying damages claimed, general affidavit from party without personal knowledge insufficient).

Although default establishes the defaulting party's liability for “well-pleaded allegations of the complaint,” it does not establish liability for “the amount of damage that the plaintiff claims.” *Int'l Painters & Allied Trades Indus. Pension Fund v. Dettrey's Allstate Painting, LLC*, 763 F. Supp. 2d 32, 34 (D.D.C. 2011). Rather, a defaulting party is entitled to a hearing where it can submit its own evidence and cross-examine witnesses. *See Firestone v. Harris*, 414 A.2d 526, 528 (D.C. 1980) (holding “an entry of default in a claim for unliquidated damage admits only the nondefaulting party’s right to recovery, not the amount of damages,” and that the defaulting party is entitled to admit evidence to mitigate such damages); *Digital Broad. Corp. v. Rosenman & Colin, LLP*, 847 A.2d 384, 387 n. 4 (D.C. 2004) (defaulted party is entitled to present evidence in mitigation of damages and to cross-examine witnesses). *See also Rubicon Glob. Ventures, Inc. v. Chongqing Zongshen Grp. Imp./Exp. Corp.*, 226 F. Supp. 3d 1141, 1147 (D. Or. 2016) (a party in default “may cross-examine the opposing witnesses and introduce evidence on [its] own behalf in mitigation of damages”); *Henry v. Sneiders*, 490 F.2d 315, 318 (9th Cir. 1974) (upon entering default judgment on the issue of liability, district court held hearing regarding damages amount); *Oire Or. C, LLC v. Yaldo*, 2008 WL 5071709, at \*1 (D. Or. Nov. 25, 2008) (defendant in default had the right to be heard regarding damages).

## **B. Complainant’s Evidence Does Not Support Its Reparations Claim**

Complainant’s submission consists of a conclusory declaration of its employee, Ms. Brittany Montesano, who discovery in this case confirmed had no involvement with the facts of this case during the relevant period of the original complaint,<sup>1</sup> a summary table that does not contain any specific dates, and a collection of invoices. Complainant’s position that these submissions are sufficient to support its reparations claims are contradicted by the precedent cited

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<sup>1</sup> *See* Schantzenbach Tr., 20:16-23, 37:20-25, relevant portions attached as Exhibit 1.

above and by substantial evidence in the discovery record of this case. By November 2021, MSC had produced all documents reflecting whether carriage of Complainant's cargo was requested and undertaken during the time periods at issue under the initial complaint and, if the cargo was not carried, why it was not. Complainant purported to do the same. If there were any evidence to support Complainant's claim that it was forced to pay more for cargo due to MSC's refusal to honor its contractual obligations, it would be in the discovery record of the case. There is none.<sup>2</sup>

Neither Complainant's affiant Ms. Montesano, nor any of the documentary evidence submitted, offers any proof that the reparations claimed relate to cargo that MSC refused to carry after being requested to do so by Complainant. There is no competent evidence as to when that cargo was ready to be carried, what steps Complainant took to have it carried by MSC or any other carrier [REDACTED]

[REDACTED] or why and how it was ultimately carried at the spot rates Complainant now asserts as the basis for its reparations claim. The submission is simply a calculation as to a claimed amount based on unexplained invoice charges presented without any context. This is essentially the same showing Complainant made before the Initial Decision and which the Commission found inadequate: unsubstantiated allegations of damages based on the difference between spot market rates and contract rates for cargo that Complainant has never tied to MSC or to its claims that MSC failed to carry cargo that it was contractually obligated to carry.

Complainant's failure of proof is even starker in light of what the evidentiary record *does* show. The original complaint that was the subject of extensive discovery was filed at the end of July 2021. The service contract at issue covered only three ports: Fuzhou, Tainjin, and Qingdao.

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<sup>2</sup> While MSC sought similar evidence from Complainant as to the 2020-21 contract year after the original Complaint was amended to include that year, Complainant did not provide it.

Complainant has never alleged that MSC failed to carry contracted cargo from Fuzhou. As to Tianjin, Complainant has previously conceded there were no issues after June 2021.<sup>3</sup> Complainant's claims under the 2021-2022 contract focused heavily on problems it alleged it was having getting cargo moved out of Qingdao during the 10-week period between May 2021 and July 8, 2021. Discovery produced by the parties in this case demonstrate that MSC did not receive any booking requests from Complainant for cargo from Qingdao between May 8 and July 8, 2021. Evidence produced by the parties in discovery further confirm that there were no written communications of any kind from Complainant concerning any problems with bookings from Qingdao between May 24, 2021 and July 8, 2021.<sup>4</sup> Complainant attempts to side step this issue by having Ms. Montesano aver that its booking agent, Expeditors International, "diligently" sought to book this cargo, but as set out above, she has no firsthand knowledge to make this claim, and not a single document supports it. The failure of proof is total.

Nor does the record contain any evidence that Complainant sought to book this cargo under contracts it held with other carriers, or made any other efforts to avoid incurring the spot market charges it now seeks to assign to MSC. [REDACTED]

[REDACTED]

[REDACTED]

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<sup>3</sup> See Schantzenbach Tr. 101:9-13; 111:21-112:1; 150:4-7, relevant pages included in Exhibit 1; Master Tr. 57:14-24; 63:8-72:25, relevant pages included in Exhibit 2; *see also* Order Granting Motion to Compel at 5, citing Opposition at 40-41 ("request is narrowly tailored to conduct between the parties, between California and two ports in China").

<sup>4</sup> See Complainant MCS Industries, Inc.'s Responses and Objections to The First Set of Interrogatories and First Request for Production of Documents of Respondent, Complainant's Objections and Responses to Interrogatory 5.

<sup>5</sup> See E-mail from Complainant's Director of Distribution Susan Schantzenbach to numerous employees of Complainant and its agent Expeditors International dated July 21, 2021, attached as Exhibit 3. [REDACTED]

*Id.* See Schantzenbach Tr. at 134-37 (discussing and confirming these figures),

To satisfy its burden of proof for the claimed reparations, Complainant must provide competent evidence that none of this cargo could have been shipped under contract rates with another carrier. Complainant has not provided any such evidence in discovery, in its submissions relied upon for the initial reward, or in its current remand filing.

Rather than providing proof of its reparations claims, Complainant provides a series of invoices for carriage at spot market prices, but does not tie the invoices to specific cargoes that MSC allegedly refused to carry. The invoices carry dates on which the amounts were invoiced, but do not give the dates of the voyages involved, much less show that the invoices relate to cargoes that Complainant asked MSC to carry and MSC did not. A preliminary review of the invoices provided discloses that Complainant is seeking reparations for cargo shipped during periods for which Complainant has admitted that MSC carried the cargo it was contractually obligated to carry. At her deposition, Complainant's Director of Distribution admitted, for example, that Complainant's reparations claim included claims for spot market carriage from Tianjin in July, 2021, a month in which Complainant has also admitted that MSC had carried all the cargo it was contractually obligated to carry.<sup>6</sup> She noted that sometimes Complainant and other shippers need to carry cargo beyond their contracted amounts;<sup>7</sup> and a carrier would be free to do so at spot rates.

Complainant's response to all of this in its reparations submission on remand has been to avoid putting in any dates at all, other than the contract year. The idea, just as in the submission Complainant made before the Initial Decision, is to randomly collect spot market invoices and

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relevant pages included in Exhibit 1.

<sup>6</sup> See Schantzenbach Tr. at 138-145 relevant pages included in Exhibit 1 & Exhibit 13, attached as Exh. 4. As discussed elsewhere, Ms. Schantzenbach handled Complainant's relationships with MSC and other carriers during the four months that were at issue in the original complaint, and which were the basis of the December 8 discovery order, as Ms. Montesano was on maternity leave during that time and entirely out of pocket. Nonetheless, Complainant relies entirely on Ms. Montesano for its reparations showing.

<sup>7</sup> *Id.*

claim that MSC owes the difference between them and its contracted rate. This is of course inadequate to prove reparations arising from MSC's alleged failure to carry contracted for cargo that Complainant has alleged as the basis of its Shipping Act claims. To the extent Complainant's claim is not simply dismissed for failure of proof, a hearing would be necessary, and required under applicable federal court precedent, to allow MSC to challenge Complainant's evidentiary submission.

**C. Complainant's Unsupported Claim For Reparations Is Inconsistent With Claims It Has Made Previously**

Complainant's claim for reparations is incompatible with the reparations calculations it has previously put forth in this proceeding. As noted above, Complainant's original complaint was based on allegations that MSC failed to carry cargo from the three Chinese ports covered under the 2021 service contract (Fuzhuo, Qingdao, and Tianjin) during the period between May 2021 and July 2021. Complainant has conceded that all contracted cargo was carried from Fuzhou; its reparations claim for that year was based on MSC's alleged failure to carry 59 FEUs from two ports—a shortfall of 20 FEUs from Tianjin in May through early June 2021, and 39 FEUs from Qingdao from May through July 2021.<sup>8</sup>

The December 8, 2021 Order Granting the Motion to Compel addressed in discovery covered the same timeframe. The Order specifically limited the scope of responsive documents as those within the “limitations of time and geography proposed by Complainant.” *Id.*, at 7-9, 11. Complainant now claims reparations for 123.5 TEUs (61.75 FEUs) that MSC allegedly refused to carry from Qingdao and Tianjin between May 2021 through July 2021. Its affidavit and brief on remand provide no explanation for the variance.<sup>9</sup>

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<sup>8</sup> See Schantzenbach Tr. at 138-145 relevant pages included in Exhibit 1 & Exhibit 13, attached Exhibit 4.

<sup>9</sup> Further, it is unclear why Complainant asserts reparations for fractional TEUs. TEUs are measured in

Complainant's affidavit and brief on remand now claim an additional \$288,232 in reparations based on MSC's alleged failure to provide contracted carriage for 111.25 TEUs between December 2021 and April 2022—a time period for which Complainant has never alleged any issues, and which falls outside the limited time period covered by the disputed discovery and the subsequent orders on that discovery. The deposition testimony of Complainant's Chief Executive Officer, Mr. Richard Master, who verified the original complaint, could not identify any specific performance issues related to MSC's service after August 2021.<sup>10</sup> In fact, Complainant never claimed in either its original or amended complaint, or in any other filing in this proceeding, that there were any issues beyond August 2021. This additional \$288,232 in reparations is wholly unsupported by any actual evidence that Complainant sought to book the cargo for which it now claims reparations with MSC or under contracts it held with other carriers, or made any other efforts to avoid incurring the spot market charges it now seeks to assign to MSC. Complainant likewise did not include this amount in its own reparations calculation produced in discovery, in any brief filed in this proceeding, or in its prior reparations submissions relied on in the Initial Decision.

These inconsistencies and failures of proof apply to the reparations claimed under the 2020 service contract as well. Complainants previously claimed reparations in the amount of \$480,719 in response to the order to show cause. It has now reduced its claimed reparations under the 2020 contract from \$480,719 to \$400,509 without any explanation. As above, Complainant has not provided any competent evidence that the reparations claimed in 2020 relate to cargo it claims to

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whole numbers with limited exceptions for instances when the parties contractually agree to count additional space associated with the use of high cube FEUs. The contracts between the parties confirm the commitments contemplate full standard TEUs.

<sup>10</sup> See Master Tr., 63:7-21, relevant pages included in Exhibit 2.

have attempted to book with MSC (or any other contracted carrier) without success and, thus, it has not provided any evidence that it could not have avoided those reparations by booking with MSC or another carrier it had contracted with. In fact, Complainant never provided any discovery in this proceeding as to the 2020 contract at all, as it did not amend its complaint to include the 2020 contract year until after the discovery order that was the subject of the default proceeding.

**D. Complainant's Affiant Has No Personal Knowledge As To The Period Of The Original Complaint**

As noted above, Complainant's 2021 claims and discovery requests were limited to the four month period from May through August 2021, a limitation the December 8 Order Granting the Motion to Compel expressly relied on. Complainant's affiant, Ms. Montesano, was on leave during this entire period.<sup>11</sup> The deposition testimony of Ms. Montesano's supervisor confirmed that Ms. Montesano was not engaged in day-to-day operations during her leave of absence, and had no contact with the business at this time.<sup>12</sup> Ms. Montesano thus cannot testify or swear to anything during this period from her own personal knowledge.

For example, when Ms. Montesano avers that Complainant's booking agent Expeditors International "diligently" attempted to book space with MSC during that period, she has no basis for asserting any personal knowledge that that is true. This is confirmed in Complainant's brief on remand, which argues that it "intended" to book this cargo with MSC, but does not provide any evidence that it actually attempted to do so, or as to the steps if any it took to book the cargo with other carriers.<sup>13</sup>

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<sup>11</sup> See Schantzenbach Tr. 21:15-23, relevant pages included in Exhibit 1.

<sup>12</sup> See Schantzenbach Tr. 37:20-25, relevant pages included in Exhibit 1.

<sup>13</sup> See Complainant MCS Industries, Inc.'s Brief on Remand (Jan. 19, 2024) at 5.

Ms. Montesano's affidavit ignores the fact that Complainant has failed to meet its minimum quantity commitments in any contract with MSC since 2017. It also does not acknowledge that in prior years Complainant fell well behind its volume commitments early in the contract year and attempted to make up some, but not all, of the shortfall later in the year. Nor does Ms. Montesano's affidavit address how that strategy proved unworkable when pandemic disruptions limited capacity at the end of the 2020-21 contract year, and into the 2021-22 contract year.

**E. Complainant's Reparations Claims Should Be Denied For Failure Of Proof; Alternatively, MSC Is Entitled To A Hearing To Cross-Examine Complainant's Affiant and Challenge Its Evidentiary Showing**

Despite entry of a default judgment, a party will not be awarded damages without first providing competent evidence justifying the amount claimed. *See Bozzuto Contractors, Inc.*, WL 7042766, at \*3. A general affidavit alleging damages that does not have personal knowledge is "not sufficient evidence to prove [a] Plaintiff's entitlement to damages." *GAG Enterprises*, 312 F.R.D. at 234. A party in default must be given an opportunity to admit its own evidence to mitigate damages, and to cross-examine the opposing party's witnesses. *See Firestone*, 414 A.2d at 528; *Int'l Painters & Allied Trades Indus. Pension Fund*, 763 F. Supp. 2d at 32.

In the Initial Decision, Your Honor awarded and granted in their entirety Complainant's claimed reparations in the amount of \$944,655. In the Commission's subsequent January 3, 2024 Order, it found "it is necessary to require detailed evidence in this case, in light of the apparently greater complexity and vastly greater size of reparations claimed, as well as the approach of federal courts applying comparable default principles." As outlined above, Complainant's reparations claims are unsupported and inconsistent with the evidence submitted and, thus, should be denied

in their entirety. But if they are not, MSC must have an opportunity to submit evidence on its behalf and cross-examine witnesses at a hearing in accordance with the Commission's Order.

## **II. 46 U.S.C. § 41302(d) PROVIDES NO BASIS FOR A DEFAULT FINDING**

### **A. Congress Did Not Intend Section 41302(d) To Apply To Litigation Pauses Caused By A Foreign Blocking Statute**

Neither Complainant nor the Initial Decision suggested that Section 41302(d) might offer an alternative basis for a finding of default. A review of the provision confirms that it is inapplicable here. The legislative history of Section 41302(d) confirms that it was adopted to assure prompt completion of Commission investigatory proceedings, not as a penalty in civil complaint actions. This is evidenced by the fact that Section 11(d) of the 1984 Shipping Act, later codified as section 41302, was entitled "Conduct of Investigations."

Applying section 41302(d) as an alternative basis of default to this case would also create needless tension with 46 U.S.C. § 41108(c)(2) which by its plain language requires mandatory government-to-government consultations to resolve discovery issues implicating a foreign blocking statute. In the present case, both parties and Your Honor previously agreed that government-to-government consultations were required to allow discovery to move forward. Both parties also agreed that further consultations were required after the initial (erroneous) decision of the Swiss court in Geneva. Accordingly, any delay was the result of the requirements imposed by Congress and Swiss law. The impossibility of MSC simultaneously complying with its discovery obligations under Commission order and Swiss law without further intergovernmental consultations cannot fairly be the basis for default under Section 41302(d).

Federal case law rejecting sanctions against parties invoking procedures to deal with foreign blocking statutes is in accord. *See Cine Forty-Second St. Theatre Corp. v. Allied Artists Pictures Corp.*, 602 F.2d 1062, 1066-68 (2d Cir. 1979) (sanctions not warranted where a party

“makes good faith efforts to comply, and is thwarted by circumstances beyond his control for example, a foreign criminal statute prohibiting disclosure of the documents at issue . . . an order dismissing the complaint would deprive the party of a property interest without due process of law.”); *Societe Internationale Pour Participations Industrielles Et Commerciales v. Rogers*, 357 U.S. 197, 212 (1958) (“[i]t is hardly debatable that fear of criminal prosecution constitutes a weighty excuse for nonproduction, and this excuse is not weakened because the laws preventing compliance are those of a foreign sovereign.”).

### **B. MSC Has Engaged In Good Faith Efforts To Expedite This Case**

MSC has cooperated within the confines of the relevant law to expedite these proceedings. MSC proposed focused discovery on the core issues raised by Complainant’s original complaint. It was Complainant, not MSC, that rejected any attempt to narrow the issues or otherwise agree to any case management that would expedite its resolution. Within four months of the filing of the complaint, MSC had provided full discovery on these issues, and deposed key personnel identified by Complainant, including its CEO, who verified the initial complaint. Complainant canceled depositions of the key personnel MSC had identified despite the fact that MSC had committed to make them available on the dates noticed by Complainant.

The December 8, 2021 Order compelling production triggered the Swiss blocking statute, precluding MSC from further voluntary production without risk of criminal sanction from the Swiss government. MSC promptly raised the issue in the parties’ December 20, 2021 status report, advising that “MSC has sought advice from Swiss counsel to identify the most expeditious way forward[.]” In subsequent status reports on the issue, Complainant itself consistently asserted that section 41108(c) required government-to-government consultations once the foreign blocking statute was raised. MSC proposed that use of the Hague Procedures, which involve government-

to-government contacts, would be the most efficient way to satisfy this statutory requirement. Your Honor agreed and ordered Complainant to prepare and serve a request under the Hague Procedures in a March 4, 2022 Order.

Delay ensued when Complainant waited a month to submit the request for international mutual judicial assistance. Complainant then filed the request in the wrong forum—MSC had advised that the request be sent to the Swiss Ministry of Justice which is the expert and experienced forum for handling such requests—and without appropriate context as to the nature of the civil proceeding before the Commission. The result was a decision from the Swiss Court of First Instance in Geneva that was based on a misapprehension of civil proceedings before the Commission. The Geneva court’s finding that Commission civil complaint proceedings are not analogous to civil proceedings in federal court and, therefore, are not covered by the Hague Evidence Convention was in error under U.S. and Swiss law. Because the Geneva court’s finding that the Hague procedures were not available did not resolve the issue of the applicability of Article 271 of the Swiss Criminal Code, the ruling did not resolve the potential criminal exposure MSC faced under Swiss law. Additionally, because the Geneva court did not order MSC to do anything, it was not subject to judicial appeal under Swiss law. Accordingly, MSC advised Your Honor and the Complainant that it was seeking to resolve the impasse by presenting the matter to the Swiss Ministry of Justice.

Before this process could resolve the issue, and despite both parties taking the position that further governmental consultations were required, the July 29, 2022 Order required immediate production. An Order to Show Cause followed despite an initial submission from the Swiss government stating that Hague Procedures applied, followed by a definitive ruling from the Swiss Justice Minister herself. MSC has always been fully prepared to move forward promptly with the

Hague Procedures based on this ruling, which the experience in this case shows can be completed in 30-60 days. Had MSC's approach been followed, the Hague issues could have been timely resolved and the case could have proceeded. Instead, the last 18 months have been consumed with default proceedings entirely separate from the merits of Complainant's claims.

MSC has provided several opinions of its Swiss counsel stating that it could face criminal jeopardy if it proceeded to provide the discovery without appropriate authorization through the use of available Hague procedures or otherwise. Swiss counsel further confirmed that without this authorization, MSC personnel in Switzerland could not direct the collection and production of evidence located in Switzerland or elsewhere without risk of criminal exposure under Article 271 and 273. These opinions have not been contradicted. As noted above, MSC's legitimate fear of criminal jeopardy cannot be considered a sanctionable delay under the statute or analogous precedent.

As further evidence of MSC's good faith efforts to expeditiously move this case forward, MSC filed a motion to dismiss to limit or resolve the issues in this case in December 2021. That motion was premised on Complainant having abandoned its allegations of unlawful collusion in the original complaint, thus, revealing that the fundamental nature of Complainant's allegations as unsupported breach of contract claims. In the interests of not delaying the proceeding further, MSC chose not to file an interlocutory appeal of the denial of that motion. On December 23, 2021, after MSC filed its motion to dismiss, Complainant filed an amended complaint recasting its claims (including formally dropping its claims of collusion) and substantially enlarging the scope of the case, which MSC opposed as delaying and complicating the case.

### **C. The Extensions Of Time In This Case Are Not Unusual In Civil Complaint Proceedings Before The Commission**

This proceeding cannot properly be characterized as an outlying instance of exceptional delay. It has involved active litigation by both parties at all stages. The Commission's presumptive deadlines, which are not set by Congress, are almost invariably extended in contested proceedings under the good cause provision of the statute, generally without any explicit findings as to good cause. Many recent proceedings at the Commission have taken at least several years, and extensions have been issued without apparent harm to the parties and without written findings of good cause. *See, e.g., Rush Truck Centers of Arizona, Inc., et al v. Nippon Yusen Kabushiki Kiasha, et al*, FMC Docket No. 16-10 (proceedings spanning over three years; five Notices of Extension of Time), *Intermodal Motor Carriers Conference, American Trucking Associations, Inc. v. Ocean Carrier Equipment Management Association Inc.* Docket 20-14 (six Notices of Extension of Time, final decision extended to nearly four years from filing).

There is also no basis for any suggestion that MSC's efforts to remove its criminal jeopardy by pursuing available Swiss procedures somehow creates delays that are contrary to Congress' intent. As outlined above, MSC faced default not due to a lack of engagement in the proceedings, but due to the conflicting requirements of Swiss law and discovery in this case. The difficult position MSC faces due to opposing requirements does not amount to action leading to tension with the usual schedules before the Commission so as to warrant default under 41302(d).

Respectfully submitted,

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Michael F. Scanlon

John Longstreth

K&L GATES LLP

1601 K Street, N.W.

Washington, DC 20006

(202) 778-9000

(202) 778-9100 (fax)

michael.scanlon@klgates.com

john.longstreth@klgates.com

*Counsel for Respondent MSC Mediterranean  
Shipping Company SA*

February 5, 2024

## CERTIFICATE OF SERVICE

I certify that, on February 5, 2024, a true and current copy of the foregoing Response Brief on Remand was served via electronic mail on the following:

Matthew J. Reynolds  
Karl C. Huth  
Sara G. Wilcox  
HUTH REYNOLDS LLP  
41 Cannon Court  
Huntington, NY 11743  
[reynolds@huthreynolds.com](mailto:reynolds@huthreynolds.com)  
[huth@huthreynolds.com](mailto:huth@huthreynolds.com)  
[swilcox@huthreynolds.com](mailto:swilcox@huthreynolds.com)

*Counsel for Complainant MCS Industries, Inc.*

/s/ John Longstreth